

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – III) END TERM EXAMINATION, MAY -2025****INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION**

CO	Course Outcome (CO)
CO1	Identify the process of Registration process, Payment terms, Export costing and pricing.
CO2	To promote basic understanding on the concepts of export & import in International Trade.
CO3	Interpret the process of Shipment procedures, & summarize the various documents used in international trade.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

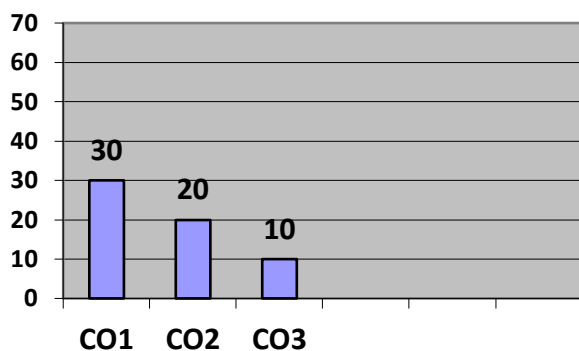
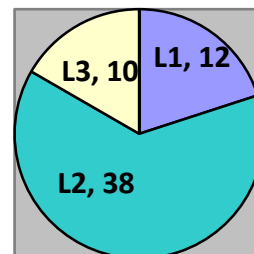
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL1
(B)	4	CO – 1	BL2
(C)	4	CO – 1	BL2
(D)	4	CO – 1	BL1
(E)	4	CO – 1	BL1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 1	BL2
2 (B)	10	CO – 1	BL2
3 (A)	10	CO – 2	BL2
3 (B)	10	CO – 2	BL2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 2	BL2
4 (B)	10	CO - 3	BL3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2024-26)

(TRIMESTER – III) END TERM EXAMINATION, MAY - 2025

INTERNATIONAL TRADE OPERATIONS & DOCUMENTATION

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Define International Trade. Discuss the significance of International Trade
- (b) Explain the drawbacks of Mercantilism Theory of International Trade.
- (c) Explain the ‘**Production Capacity**’ and ‘**Product Availability**’ as the factors affecting selection of products for international market.
- (d) Define ‘**Letter of Credit.**’ Briefly explain the role of letter of credit in international trade operations & documentation.
- (e) Define ‘**Proforma Invoice.**’ Draw the sample of Proforma Invoice.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- (a) “**Specialisation in production plays very important role for selecting the product and market to be traded.**” With reference to this statement, explain the implications of Adam Smith’s theory of absolute cost advantage. Also discuss the criticisms of Absolute Advantage Theory.

OR

- (b) Elaborate the steps of Shipment Procedures in detail.

Q.3. (a) Differentiate between ‘**Freight Forwarder**’ and ‘**Clearing/Forwarding Agent**’. Explain the role of Clearing Agent in International Trade Operations & Documentation.

OR

- (b) Explain the concept of ‘**Dumping.**’ Also elaborate the types of dumping with its advantages and disadvantages.

SECTION-C

When online retailer Amazon.com invented its revolutionary e-book reader, the Kindle, the company had to decide where to have it made. Ultimately Amazon released the first Kindle in 2007 at a price of \$399. But, let’s trace the history of the Kindle and some of the decisions that took place. Guiding the project was an understanding that if the kindle was going to be successful, it had to have that magic combination of low price, high functionality, high reliability, and design elegance. Over time, this has become more important as competitors have emerged. These have included Sony with various readers, Barnes & Noble with its Nook, and, most notably, Apple with its multipurpose iPad, which can function as a digital reader among other things. Amazon’s goal has been to aggressively reduce the price of the Kindle so that it both has an edge over competitors and becomes feasible to have a couple Kindles Lying around the house as a sort of digital library.

Amazon designed the Kindle in a lab in California, precisely because this is where their key R&D expertise was located. One of the Kindle's crucial components, the "ink" (the tiny microcapsule beads used in its display), was designed and made by E Ink, a company based in Cambridge, Massachusetts. Much of the rest of the value of the Kindle, however, was outsourced to manufacturing enterprises in Asia.

The market research firm iSuppli estimates that when it was introduced in 2009, the total manufacturing cost for the Kindle 2 ran about \$185. The most expensive single component was the display, which cost about \$60. Although the display used E Ink's technology, there were no American firms with the expertise required to manufacture a bistable electrophoretic display that will show an image even when it is not drawing on battery power. This technology is central to the Kindle because it allows very long battery life. Ultimately, Amazon contracted with a Taiwanese firm, Prime View International, to make the display. Prime View had considerable expertise in the manufacture of LCDs and was known as an efficient and reliable manufacturer. Estimates suggest that 40 to 50 per cent of the value of the display is captured by E Ink, with the rest going to Prime View. After the display, the next most expensive component is the wireless card that allows the Kindle to connect to Amazon's digital bookstore through a wireless link. The card costs about \$40. Novatel Wireless, a South Korean enterprise that has developed considerable expertise in making wireless chipsets for cell phone manufacturers, produces this component. The card includes a \$13 chip that was designed by Qualcomm of San Diego. This too is manufactured in Asia. The brain of the Kindle is an \$8 microprocessor chip designed by Texas-based Freescale Semiconductor. Freescale outsources its chip making to foundries in Taiwan and China. Another key component, the lithium polymer battery, costs about \$7 and is manufactured in China. In sum, out of a total manufacturing cost of about \$185, perhaps \$40 to \$50 is accounted for by activities undertaken in the United States by E Ink, Qualcomm, and Freescale, with the remainder being outsourced to manufacturers in Taiwan, China, and South Korea.

Interestingly, these days what used to be basically a pure e-reader in the Amazon Kindle has now become a competitor to multiuse products such as Apple's iPad, and what used to be computer replacement-focused products such as the iPad have now ventured into the e-reader territory in a more obvious way. Amazon's Kindle has gone through a variety of development phases, logically named Kindle 3, 4, 5, 6 and 7. However, in the 2014 refresh of the tablet market the Amazon Kindle Fire HDX was simply renamed "Fire HDX." It was referred to as a "tablet" and not just an e-reader and sells as an integrative technology device with top-notch movie, TV, and music capability (and much more) along with its staple characteristics of being an e-reader.

Q.4. Attempt all parts of the following:

(2×10=20)

- 4(a)** Explain the criteria that drove Amazon's decision of where to produce the different components that go into the Kindle. Were these the right criteria?
- 4(b)** Plan the potential outcomes Amazon might have encountered if it had decided to design and manufacture the KINDLE and all its components in the United States,